GMS WEEKLY

Your Source for Recycling News

October 28th, 2022
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Week 43

Highlights:

- **Sparse.**
- **Fundamentals low.**
- **Specialist only.**
- **Mid 550s/LDT.**
- **Persistent inertia.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"Keep a little fire burning; however small, however hidden."

– Cormac McCarthy

MARKET COMMENTARY

TWO TIER MARKET!

Activity and action remain sparse across all recycling destinations, with very few (market) sales to speak of, including minimal firm interest or serious numbers from End Buyers that may tempt Owners / Cash Buyers to engage in any meaningful negotiations.

Fundamentals, which remain the primary driving factors of the ongoing volatility, remain precariously poised across all locations, with steel prices volatile / down and currencies still struggling to find stable footing.

As a result, a sort of two tier market has emerged, one where Cash Buyers, Brokers and Owners expect the market to be at a certain level, and another where Local Recyclers seem to be intentionally positioning prices well below asking levels, and both are about USD 50/LDT apart at this time.

Only on select and favored tonnage, like Russian built tankers or smaller LDT specialized units in decent condition are welcomed with acceptable numbers from the markets, particularly from a picky Bangladesh.

Standard Handy, Panamax Bulk Carriers, and Capes are seeing prices in the mid USD 550s/LDT (if at all), as the number of End Buyers with the ability to establish workable L/Cs across the sub-continent continues to dwindle.

Diwali holidays in India have afforded the market there a break, but the persistent inertia evident in Pakistan and Bangladesh has become a prolonged malaise and is not giving Cash Buyers any confidence to offer on any of the small number of candidates available for recycling, instead preferring the far more bullish trading sector as a viable alternative.

For week 43 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	570 / LDT*	580 / LDT*	590 / LDT*
2	Pakistan	Weak	560 / LDT	570 / LDT	580 / LDT
3	India	Weak	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Small LDT*

All at GMS would like to wish our readers a Very Happy Diwali and a Prosperous New Year ahead!

BANGLADESH

PICKY!

Turning noses up.

Bangladeshi End Buyers have started to turn their noses up at tonnage or tend to offer completely unworkable / below market levels on the absolutely minimal array of vessels currently available for recycling.

Bank restrictions have of course become exponentially tighter over recent times and this is leading to a dampened demand and a reduced number of capable & performing End Buyers.

Diverting.

Notwithstanding, the overall lack of appetite on standard / dry vessel vessels (mostly Bulkers) has become quite alarming. Many vessels have been put back into trading lanes or diverted to other markets, so out of sorts is Bangladesh at present (and has been for much of this year).

Fundamentals also remain quirky as local steel plate prices fell about USD 15/Ton while the Bangladeshi Taka firmed back from BDT 104.X to BDT 100 against the U.S. Dollar – a nearly 4% readjustment after having fallen nearly the same amount just a couple of weeks ago.

Certainly not the ideal scenario for a destination that has remained the market leader for some time now.

NO MARKET SALES REPORTED

INDIA

DIWALI DELIGHT!

Diwali holidays, the traditional festival of lights, have proved to be a rare spot of celebration for a beleaguered and reluctant Indian market this week.

Rare bright spot.

Very few sales have taken place to Alang Buyers over the last two quarters (as evidenced by the record low arrivals at Alang's waterfront), as port reports lay virtually (and painfully) empty.

While local steel plate prices posted a marginal USD 3/Ton improvement this week, it is the Indian Rupee that registered some noteworthy gains, briefly firming into Rs. 81.9 before settling back towards a still firmer Rs. 82.30 against the U.S. Dollar - as another mute week passes in India.

Mute week.

NO MARKET SALES REPORTED

PAKISTAN

FALTERING!

Glum.

As Pakistani fundamentals continue to falter, the outlook in Pakistan remains similarly bleak to other sub-continent locations, while Gadani Buyers continue to talk down levels.

There have been one or two candidates purportedly discussed for a potential sale. However, not having seen anywhere near satisfactory offers on the units, both vessels have been reportedly withdrawn and returned to the trading lanes.

Long road to recovery.

On the fundamentals front, local steel plate prices declined nearly USD 25/Ton, while the Pakistani Rupee gradually weakened past PKR 222 against the U.S. Dollar this week.

As such, there certainly seem increasing signs of a silent end to 2022 and probably early '03.

NO MARKET SALES REPORTED

TURKEY

MORE OF THE SAME!

The Turkish market remains suspended in animation, with an ironic degree of stability via unchanged fundamentals, prices, and local sentiments.

Fundamentals unchanged.

Local steel plate prices have remained depressed, yet unchanged for several weeks now. The Lira continues to bob around the TRY 18.5X mark whilst market supply remains abysmal, and local Buyers remain utterly disinterested in trying to present offers that they know will not be entertained as Aliaga remain less than half of what sub-continent markets currently have on offer.

As such, this remains quite the quiet spell that Turkey is currently going through.

Quite the quiet.

NO MARKET SALES REPORTED

AMAZING FACTS

- *A waffle iron inspired one of the first pairs of Nikes. Bill Bowerman was a track and field coach in the 1950s who didn't like how running shoes were made. He first created the Cortez shoe but wanted a sneaker that was even lighter and could be worn on a variety of surfaces. During a waffle breakfast with his wife in 1970, he came up with the idea of using the waffle texture on the soles of running shoes. Waffle-soled shoes made their big debut in the 1972 U.S. Olympic track and field trials in Eugene, Oregon.*
- *Boars wash their food. National Geographic reported that at Basel Zoo in Switzerland, zookeepers watched adult and juvenile wild boars pick up sandy apples and bring them to a nearby creek in their environment to wash before eating. Though some items like sugar beets were eaten without the human-like behavior, the boars brought a whole dead chicken to the creek to wash before chowing down. One ecologist called this a "luxury behavior."*
- *Baseball umpires used to sit in rocking chairs. People have been playing baseball since the mid-19th century. In the early days, umpires would officiate the games while reclining in a rocking chair located 20 feet behind home plate. By 1878, the National League also declared that home teams must pay umpires $5 per game.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
November 08 – Guru Nanak Jayanthi	October 25 – October 31 November 06 – November 13 November 22 – November 29

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in November	November 06 – November 09 November 22 – November 25

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in November	**No holidays in November**	**No holidays in November**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of October 28, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Angelos (Under Tow)	3,841	Tanker	Arrived October 28
2	Deed 1	1,986	General Cargo	Arrived September 29
3	Dolphin	3,567	Fishing Vessel	Beached October 21
Total Tonnage		**9,393**		

CHATTOGRAM - Port Position as of October 28, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	*Ark*	*41,756*	*Tanker*	*Beached October 27*
3	Bo Yang 18	3,524	Tanker	Arrived October 22
4	*Daiyu*	*623*	*General Cargo*	*Beached October 25*
5	Dawn Luck	2,012	Tanker	Arrived October 21
6	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
7	*Java Illithyia*	*2,257*	*Survey Vessel*	*Beached October 24*
8	*Propserity*	*5,822*	*Bulk Carrier*	*Beached October 26*
9	Searich	1,778	Tanker	Arrived October 21
10	*Shiny*	*22,009*	*Bulk Carrier*	*Beached October 27*
11	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**113,312**		

GADANI - Port Position as of October 28, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Linda Star	6,475	Bulk Carrier	Arrived October 19
2	*Medrock II*	*1,550*	*Barge*	*Beached October 26*
3	*Ocean Younker*	*625*	*Tug*	*Beached October 26*
4	*Sea Master*	*2,316*	*Barge*	*Beached October 27*
Total Tonnage		**10,966**		

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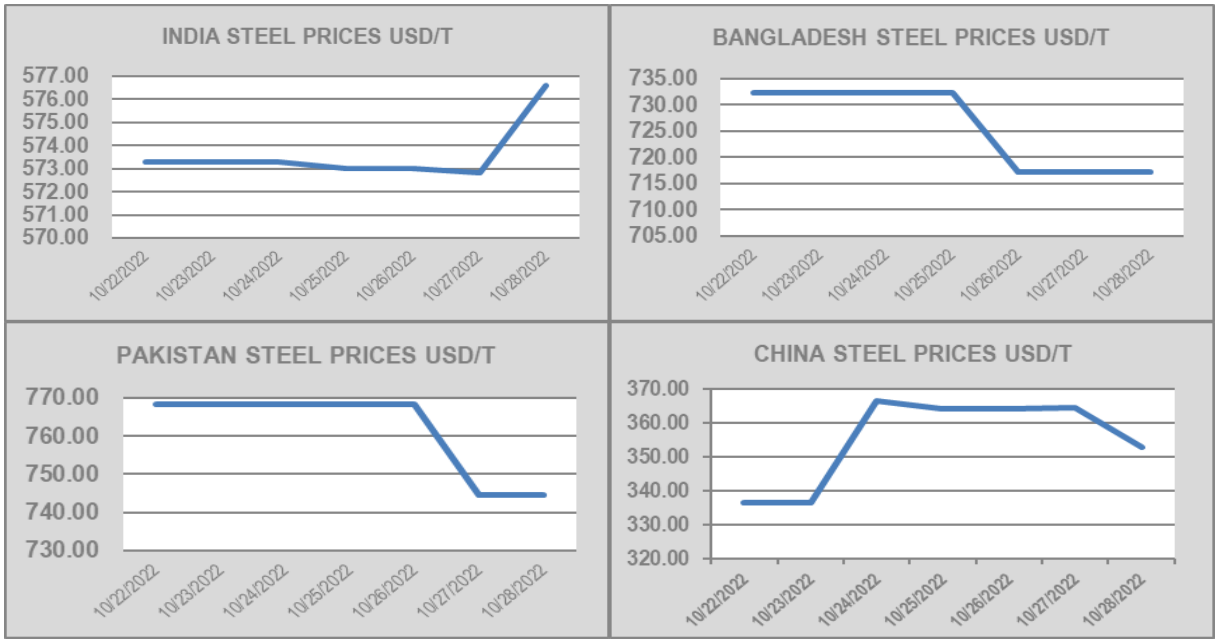
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
10/22/2022	573.29	47,400.00	768.19	170,000.00	732.32	72,500.00	336.65
10/23/2022	573.29	47,400.00	768.19	170,000.00	732.32	72,500.00	336.65
10/24/2022	573.29	47,400.00	768.19	170,000.00	732.32	72,500.00	366.65
10/25/2022	573.02	47,400.00	768.19	170,000.00	732.32	72,500.00	364.18
10/26/2022	573.02	47,400.00	768.19	170,000.00	717.17	71,000.00	364.18
10/27/2022	572.82	47,200.00	744.58	165,000.00	717.17	71,000.00	364.68
10/28/2022	576.60	47,500.00	744.58	165,000.00	717.17	71,000.00	352.89



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